P2 — Business Idea Formulation

INOVEL · PROJECT 2

From a business idea to a compelling value proposition

A practical framework for developing, testing and communicating a business concept

From Ideas to a Business Model

PROJECT WORKFLOW

Work in groups of 5 students.

Generate 2–3 business ideas.

Discuss the alternatives and test their assumptions.

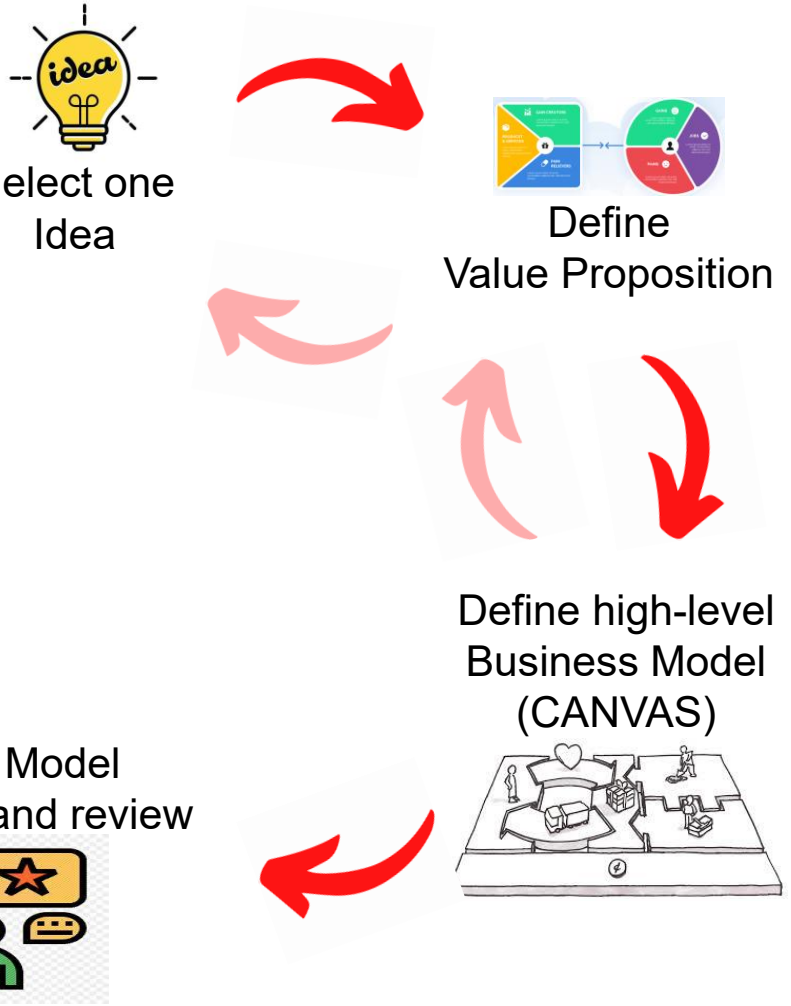
Select one idea with the strongest potential.

Define the value proposition.

Build a high-level Business Model Canvas.

Review the model and identify its weakest assumptions.

Present the final Business Model Canvas.



Select the Idea

STEP 1

Do not select the idea simply because it sounds attractive.

Start with a real customer problem, need or opportunity.

Identify who experiences the problem and in what context.

Compare the 2–3 ideas using evidence and clear criteria.

Prefer ideas where the problem is meaningful and the proposed solution can create distinctive value.

Make the assumptions behind the choice explicit.

Define the Value Proposition

STEP 2

Customer profile

Customer segment

Job-to-be-done

Pains

Gains

Value map

Products & services

Pain relievers

Gain creators

Value proposition

Define the Value Proposition

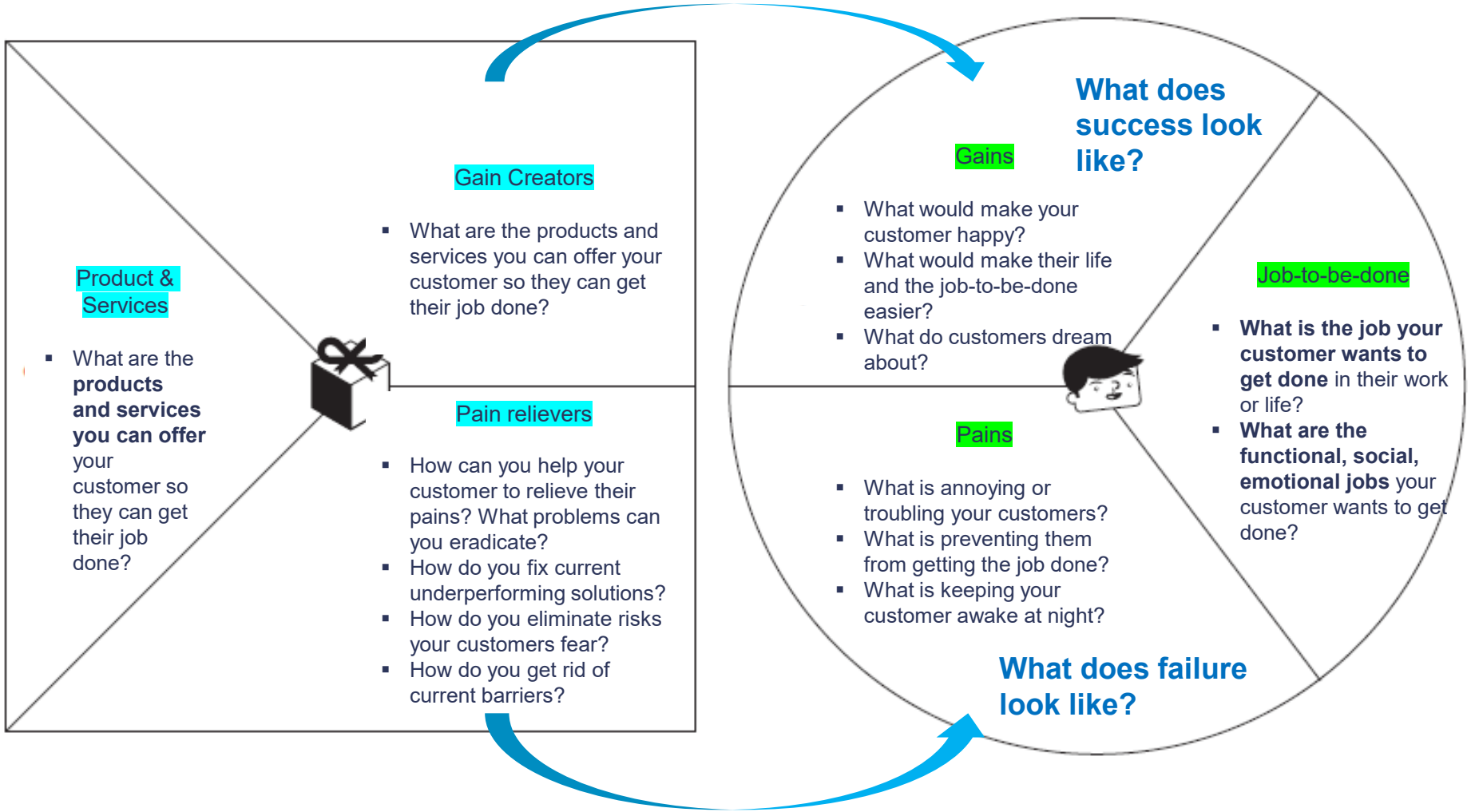
CUSTOMER–SOLUTION FIT

Value map

Products & services

Pain relievers

Gain creators



Customer profile

Jobs-to-be-done

Pains

Gains

Source: Alexander Osterwalter & Yves Pigneur; Criar Modelos de Negócio. D. Quixote (2011)

Build a High-Level Business Model

STEP 3

Use the Business Model Canvas to connect value creation, delivery and capture.

Customer Segments — Who are we creating value for?

Value Proposition — What value do we deliver?

Channels — How do we reach customers?

Customer Relationships — How do we interact with them?

Revenue Streams — How do we capture value?

Key Resources, Key Activities and Key Partners — What is required?

Cost Structure — What are the main costs?

Review & Stress-Test the Business Model

STEP 4

Customer switching costs — What keeps customers from leaving?

Recurring revenues — Are revenues transactional or recurring?

Earning vs. spending — When do we receive cash relative to major costs?

Competitive cost structure — Is our cost base structurally attractive?

External work — Which activities can others perform or contribute?

Scalability — What resources are needed to grow?

Protection from competition — How vulnerable is the model to imitation?

Jobs-to-Be-Done

CUSTOMER PERSPECTIVE

What is the job your customer wants to get done in their work or life?

Functional jobs — tasks, problems to solve or needs to satisfy.

(i.e. mow the grass, eat healthy, write a report, etc.)

Social jobs — how customers want to be perceived by others.

(i.e. look trendy, be perceived as competent, etc.)

Emotional jobs — the emotional state customers seek.

(i.e. seeking peace of mind regarding one's investments, feel job security, etc.)

Framework: Alexander Osterwalder & Yves Pigneur, Business Model Generation (2010).

Three Types of Jobs-to-Be-Done

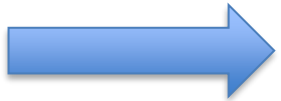
CUSTOMER PERSPECTIVE

FUNCTIONAL	SOCIAL	EMOTIONAL
Mow the grass	Look trendy	Feel secure
Eat healthy	Be perceived as competent	Gain peace of mind
Write a report	Signal status	Feel confident

Three Types of Jobs-to-Be-Done

CUSTOMER PERSPECTIVE

Prepare effectively for final exams



Value Map

Functional Job

- Study multiple subjects efficiently
- Organize study materials and deadlines
- Track learning progress

Emotional Job

- Feel confident before exams
- Reduce stress and anxiety
- Stay motivated throughout the study period

Social Job

- Achieve good academic results
- Demonstrate competence among peers
- Increase future career opportunities

Which elements of the value map directly address the customer's jobs, pains and gains?

Value Proposition Canvas — Customer Profile

CUSTOMER SIDE

JOBS

What does the customer need to accomplish?

What tasks or problems are involved?

What outcomes matter?

PAINS

What annoys or troubles the customer?

What prevents the job from being done?

What risks or frustrations exist?

GAINS

What would make the customer happy?

What would make the job easier?

What outcomes does the customer dream about?

Value Map — Products, Pain Relievers & Gain Creators

SOLUTION SIDE

PRODUCTS & SERVICES

Products and services you offer.

Only include those relevant to the selected customer segment.

PAIN RELIEVERS

Reduce or eliminate important pains.

Remove barriers and risks.

Improve weak existing solutions.

GAIN CREATORS

Create outcomes customers value.

Make the job easier or better.

Deliver benefits beyond basic functionality.

Prepare effectively for final exams

PRODUCTS & SERVICES

Study app

Flashcards

Practice tests

Personalized study plans

PAIN RELIEVERS

Reduce stress

Organize study content

Save time.

GAIN CREATORS

Achieve better grades

Increase confidence

Improve learning outcomes

What Does Success Look Like?

TESTING THE VALUE PROPOSITION

SUCCESS

Define observable outcomes.

Identify the customer behaviour you expect to change.

Specify measurable benefits where possible.

Explain why the proposed solution is better than the current alternative.

FAILURE / RISK

What would make the solution fail?

Which assumptions are most uncertain?

What evidence would prove us wrong?

Which risks should be tested first?

Business Model Design — Key Questions

CRITICAL REVIEW

Do customers really need the product?

Will customers actually buy it?

Can the business model generate sustainable profits?

Can the business attract the resources or investment it requires?

Can the business demonstrate an adequate and credible return for investors?

Example — Erasmus Student Support

ILLUSTRATIVE APPLICATION

JOBS & GAINS

Integrate into a new culture.

Learn and live in a foreign country.

Meet local and Erasmus students.

Discover the city and relevant services.

PAINS

Limited budget.

Language barriers.

Feeling lonely.

Emergency situations.

Difficulty finding trusted information.

SOLUTION

Student support app.

Translation support.

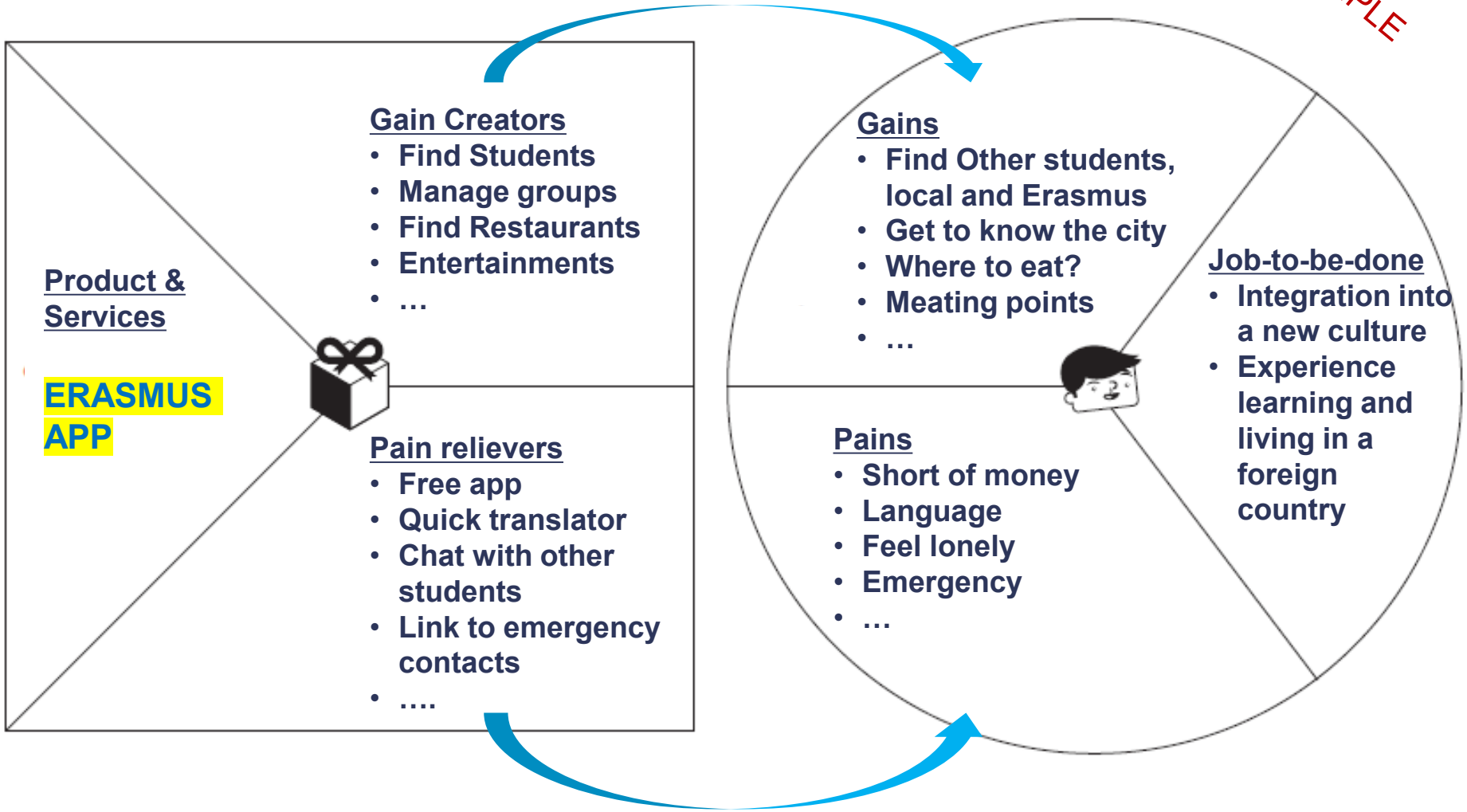
Peer-to-peer interaction.

Emergency contacts.

Restaurants, entertainment and local groups.

CANVAS: Value Proposition: The ERASMUS APP

EXAMPLE



Source: Alexander Osterwalter & Yves Pigneur; Criar Modelos de Negócio. D. Quixote (2011)

Erasmus Student Support

Mapping customer needs to a digital social-support solution.

Jobs & Gains	Pains	Solution Features
Integrate into a new culture.	Limited budget & language barriers.	**Student Support App: One-stop digital hub.**
Learn and live in a foreign country.	Feeling lonely or isolated.	**Translation & language support tools.**
Meet local and Erasmus students.	Emergency situations abroad.	**Peer-to-peer interaction & social matching.**
Discover the city and relevant services.	Difficulty finding trusted info.	**Emergency contacts & verified local guides.**

Value Proposition — Why It Matters

FROM CUSTOMER PROBLEM TO BENEFIT

A value proposition explains how a product or service addresses a customer need and creates meaningful benefits.

It should address an existing or credible market need.

It should be credible and supported by evidence or clear assumptions.

It should be easy to communicate — succinctly and clearly.

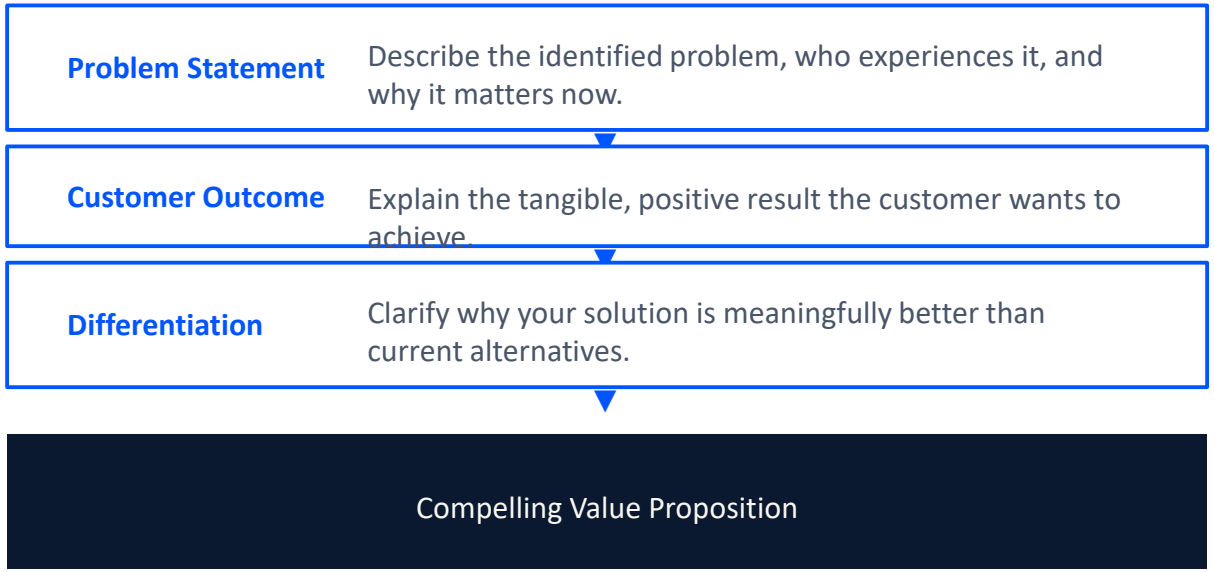
Focus on customer outcomes and benefits, not a list of features.

ultimately it all starts with a good Product Value Proposition

Problem Statement

BEFORE WRITING THE PITCH

- Describe the problem or opportunity you have identified.
- Specify who experiences it and in what context.
- Explain the tangible outcome the customer wants.
- Clarify why the problem matters now — its urgency, frequency or impact.
- Keep the statement specific enough to guide the solution.



Value Proposition Pitch

THE 30-SECOND TEST

If you met a potential investor or customer in a lift, could you explain the value in 30 seconds?

For [target customer]

who [need / opportunity],

[our product or service] is a [category] that [most compelling customer benefit].

Unlike [competitors / alternatives],

our solution [primary differentiation].

Elevator Pitch — Structure

FILL IN THE BLANKS

- TARGET CUSTOMER — Who exactly are we addressing?
- NEED / OPPORTUNITY — What problem or unmet need exists?
- SOLUTION — What product or service do we provide?
- CATEGORY — What type of solution is it?
- KEY BENEFIT — What measurable or compelling outcome does it create?
- ALTERNATIVES — What does the customer use today?
- DIFFERENTIATION — Why is our solution meaningfully better?

Elevator Pitch — Erasmus Example

ILLUSTRATIVE EXAMPLE

For students studying abroad who need to integrate quickly into a new academic and local environment,

the Erasmus Student Support App is a digital social-support service that helps students connect, navigate and access trusted local information.

Unlike fragmented administrative and social-support alternatives,

it combines peer interaction, practical local information and support features in one accessible service.

Value Proposition — Elevator Pitch

Example: Erasmus Student Support App

FOR	Target customer	**Displaced students on Erasmus**
WHO	Need / opportunity	**Need to get to know the school and the city**
THE	Product / service	**Student Support App**
IS A	Product category	**Tool for social support**
THAT	Compelling customer benefit	**Allows integration into the academic and local community**
UNLIKE	Competitive alternative	**Administrative social-support services**
OUR	Primary differentiation	**Available anytime, anywhere, on any device — for free**

“For Erasmus students who need to integrate into a new academic and local environment, the Student Support App is a social-support tool that enables integration into the academic and local community, unlike traditional administrative support services, because it is available anytime, anywhere, on any device — for free.”

The 30-Second Value Proposition Pitch

A structured formula to communicate your value clearly and quickly.

For **[target customer]** who **[need / opportunity]**,
[our product] is a **[category]** that **[compelling benefit]**.
Unlike **[alternatives]**, our solution **[differentiation]**.

Assuming that we find the key investor in a lift and that we have 30 seconds to arouse his interest in our value proposition, we must win the "elevator pitch",

ERASMUS EXAMPLE

"For students studying abroad who need to integrate quickly, the Erasmus Support App is a digital social-support service that helps students connect and access trusted local info. Unlike fragmented administrative alternatives, it combines peer interaction and practical support in one accessible service."

Putting It All Together

FROM PROBLEM TO VALUE

1. What is the problem?
2. Who are we addressing?
3. What job are they trying to get done?
4. What pains and gains matter most?
5. What do we offer?
6. How do we relieve pains and create gains?
7. What is our clear value proposition?
8. How does the business model capture value?

Key Takeaways

BEFORE PRESENTING YOUR IDEA

- Start with the customer and the problem — not the technology.
- Separate features from customer benefits.
- Make assumptions explicit and test the riskiest ones ones first.
- Look for fit between jobs, pains, gains and your your solution.
- Stress-test the business model for scalability and and economics.
- Keep the value proposition simple enough to 30 seconds.

Q&A

PROJECT 2

Questions, discussion and feedback

From idea → customer problem → value proposition → business model

